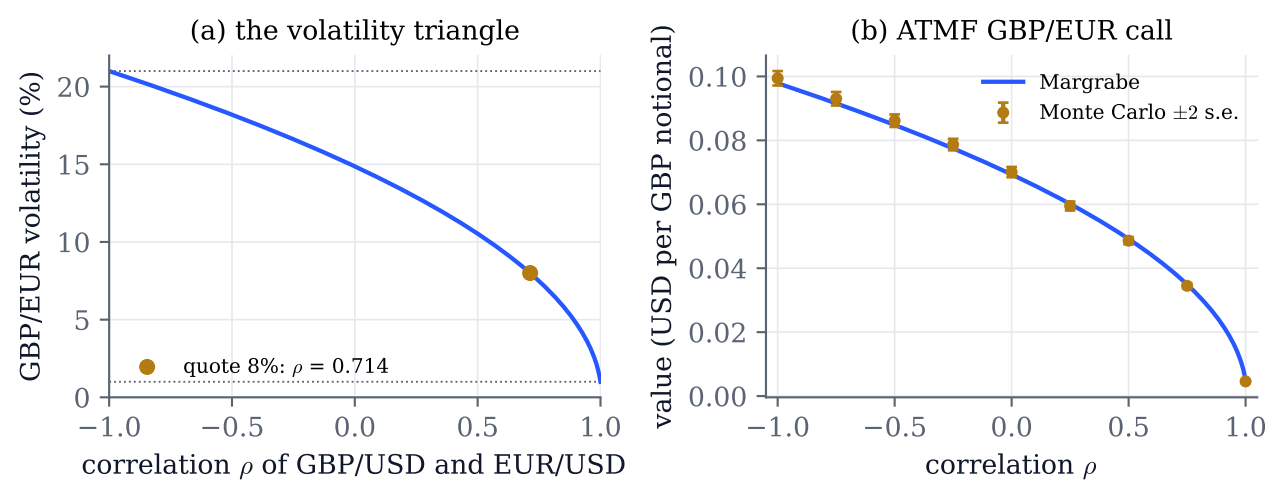
(a) the volatility triangle
GBP/EUR volatility (%)
20
15
10
5
0
quote 8%: ρ = 0.714
−1.0
−0.5
0.0
0.5
1.0
correlation ρ of GBP/USD and EUR/USD
(b) ATMF GBP/EUR call
value (USD per GBP notional)
0.10
0.08
0.06
0.04
0.02
0.00
Margrabe
Monte Carlo ±2 s.e.
−1.0
−0.5
0.0
0.5
1.0
correlation ρ